

FY2026 Business Performance Review

Board & Management Briefing | Fictional report created for analytical-system testing

\$112.5m FY2026 Revenue	+18.4% YoY Revenue Growth	\$14.6m Operating Profit	13.0% Operating Margin
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Purpose. This report summarizes FY2026 financial, commercial, customer, and operational performance. The company delivered strong top-line growth but ended the year with weaker enterprise retention, rising cloud costs, and a widening service backlog. Management must balance continued acquisition investment against retention and margin protection.

Important: Northstar Analytics Ltd. is fictional. All data in this document is synthetic but internally designed to support retrieval, evidence tracing, quantitative comparison, risk analysis, and recommendation generation.

Prepared: 18 September 2026

Reporting period: 1 January - 31 December 2026

1. Executive Summary

Northstar Analytics generated **\$112.5 million** of FY2026 revenue, up **18.4%** from \$95.0 million in FY2025. Operating profit increased to **\$14.6 million** from \$13.3 million, but operating margin declined from **14.0%** to **13.0%**. Growth was driven primarily by mid-market subscriptions and expansion in Europe and the Middle East.

Commercial momentum remained healthy: the company added **1,420 net new customers**, compared with 1,060 in FY2025. However, the enterprise segment deteriorated during the second half. Enterprise gross retention fell from **91% in Q1 to 84% in Q4**, while enterprise support escalations rose 46% year over year.

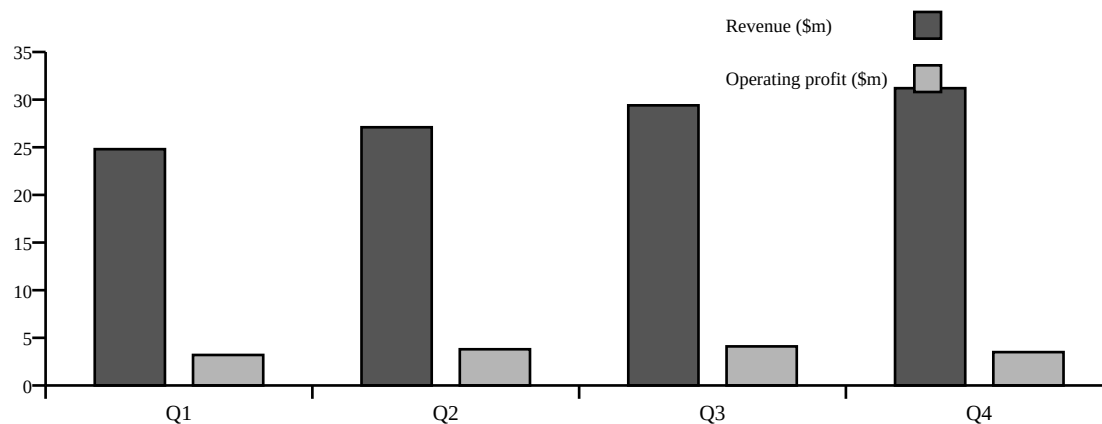
Cloud infrastructure expense reached **\$21.8 million**, up 31% year over year and materially faster than revenue growth. Management attributes the increase to higher inference workloads, duplicated storage across regions, and delayed optimization of several legacy pipelines.

Priority	Issue	Evidence	Management implication
1	Enterprise retention	91% Q1 -> 84% Q4	Revenue quality risk in highest-ACV segment
2	Cloud cost growth	+31% YoY vs +18.4% revenue	Margin compression if unit economics do not improve
3	Support backlog	Open cases +38%; P1 median response 42 min	Customer experience may reinforce churn
4	Regional concentration	UK + Germany = 44% of international ARR	Exposure to two European markets

Management recommendation: shift the next two quarters from acquisition-first execution to a balanced retention-and-efficiency program. The report proposes an enterprise recovery squad, cloud unit-cost targets, support capacity rebalancing, and tighter regional concentration limits.

2. Financial Performance

Quarterly revenue and operating profit



Metric	FY2025	FY2026	Change
Revenue	\$95.0m	\$112.5m	+18.4%
Gross profit	\$65.6m	\$76.1m	+16.0%
Gross margin	69.1%	67.6%	-1.5 pp
Operating profit	\$13.3m	\$14.6m	+9.8%
Operating margin	14.0%	13.0%	-1.0 pp
Free cash flow	\$10.8m	\$11.2m	+3.7%

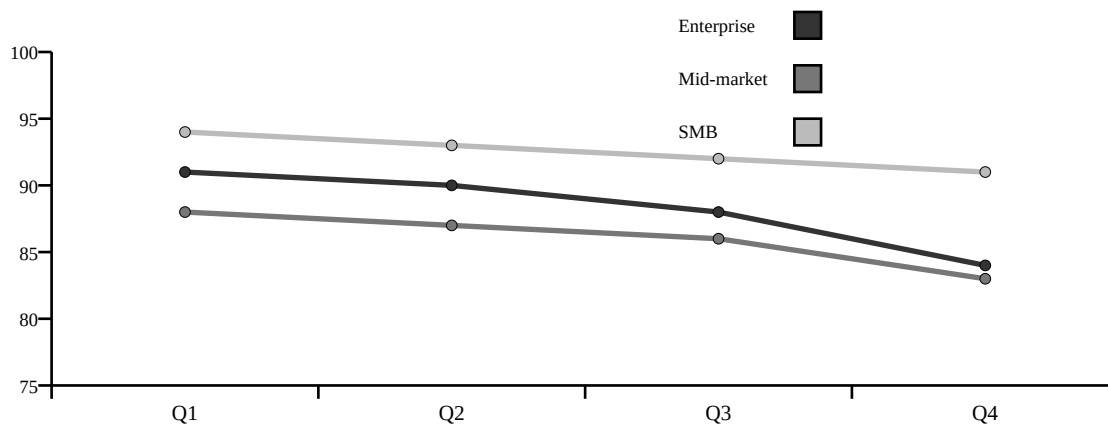
Revenue accelerated each quarter, reaching \$31.2 million in Q4. Operating profit did not follow the same trajectory: Q4 operating profit fell to \$3.5 million from \$4.1 million in Q3 despite higher revenue. The Q4 margin decline reflects cloud infrastructure expense, additional support hiring, and a \$0.6 million customer-credit program related to two service incidents.

Subscription revenue represented 82% of FY2026 revenue. Professional services represented 12%, and usage-based analytics represented 6%. Usage-based analytics was the fastest-growing category at 41% year over year, but carried a lower gross margin because of compute intensity.

Cost observation: cloud expense increased from \$16.6 million to \$21.8 million. If cloud expense had grown at the same 18.4% rate as revenue, FY2026 cloud expense would have been approximately \$19.7 million, implying roughly \$2.1 million of excess cost growth versus that benchmark.

3. Customer & Commercial Performance

Gross retention by customer segment



Segment	FY2026 Revenue	YoY growth	Q4 gross retention	Avg. contract value
Enterprise	\$48.4m	+8%	84%	\$184k
Mid-market	\$39.1m	+27%	83%	\$46k
SMB	\$25.0m	+29%	91%	\$8.2k

Enterprise remained the largest revenue segment, but its growth slowed to 8%. Exit interviews from 37 churned enterprise accounts identified three recurring themes: **slow support response (43%)**, **pricing/contract complexity (30%)**, and **missing workflow integrations (27%)**. Percentages reflect the primary reason assigned to each account.

Mid-market performance was stronger. Revenue grew 27%, aided by a simplified packaging model launched in March. Mid-market sales-cycle duration declined from 74 days to 58 days. SMB growth was highest at 29%, although the segment contributes lower absolute revenue and requires more automated support.

Net new customers totaled 1,420. Customer acquisition cost increased 9% overall, but payback remained below 14 months for mid-market and SMB. Enterprise CAC payback rose to 22 months because of longer implementation cycles and increased pre-sales engineering involvement.

4. Regional & Operational Performance

Region	Revenue	YoY growth	Share of revenue	Comment
North America	\$62.0m	+12%	55.1%	Largest base; enterprise softness
Europe	\$31.4m	+26%	27.9%	UK and Germany drive expansion
Middle East	\$11.2m	+44%	10.0%	Fastest-growing region
Asia-Pacific	\$7.9m	+19%	7.0%	Early-stage channel model

Operational indicators

Operational KPI	FY2025	FY2026	Target	Status
Platform uptime	99.91%	99.86%	>=99.90%	Below target
P1 median response	31 min	42 min	<=30 min	Below target
Open support cases	1,180	1,628	<1,000	Below target
Cloud cost / \$ revenue	\$0.175	\$0.194	<\$0.170	Below target
Deployment frequency	3.4/week	5.8/week	>=5/week	Above target

Operational performance was mixed. Engineering deployment frequency improved materially, but customer-facing reliability weakened. Two high-severity incidents in August and November accounted for 61 minutes of unavailable service and triggered \$0.6 million in service credits.

The support backlog grew 38% to 1,628 open cases. Management added 18 support specialists in Q4, but the full productivity benefit is expected only in Q1 FY2027 after training. The enterprise tier accounted for 54% of escalated cases despite representing 43% of revenue.

5. Product, Technology & Risk Review

Product adoption. The automated forecasting module reached 46% adoption across eligible customers, up from 29% at the start of the year. The workflow automation module reached only 18% adoption. Product research indicates enterprise customers increasingly expect native integrations with ERP and CRM systems.

Infrastructure. Model inference volume increased 57%, while average inference cost per 1,000 requests declined only 12%. Storage duplication across regional environments added an estimated \$0.9 million of annualized cost. Engineering estimates that workload scheduling, model routing, and storage deduplication could reduce annual cloud spend by \$2.5-\$3.2 million without reducing service levels.

Principal risks

Risk	Likelihood	Impact	Evidence / trigger	Mitigation
Enterprise churn	High	High	Retention 91% -> 84%; support cited in 43% of churn exits	90-day enterprise recovery program
Cloud margin pressure	High	Medium-High	Cloud cost +31%; cost/revenue \$0.194	Unit-cost program; routing and storage optimization
Support capacity	Medium-High	High	Backlog +38%; P1 response 42 min	Tiered staffing and automation
European concentration	Medium	Medium	UK + Germany = 44% of international ARR	Diversify partner pipeline
Integration gap	Medium	High	27% of enterprise churn exits cite missing integrations	Prioritize top ERP/CRM connectors

Nuance: the data does not establish that support performance alone caused the decline in enterprise retention. Support was the most common primary churn reason in the exit sample, but pricing complexity and integration gaps were also material. Enterprise retention should therefore be treated as a multi-factor problem.

6. Management Priorities for H1 FY2027

Priority	Action	90-day measure	Expected rationale
1	Launch enterprise retention recovery squad	Restore enterprise gross retention trajectory to $\geq 88\%$	Protect highest-value revenue base and address churn drivers
2	Execute cloud unit-cost program	Reduce cloud cost/revenue from \$0.194 to $\leq$ \$0.180	Recover margin while inference usage continues to grow
3	Reduce support backlog	Open cases $< 1,200$; P1 median response ≤ 30 min	Improve enterprise experience and incident response
4	Prioritize ERP/CRM integrations	Ship 3 highest-demand connectors	Address a documented enterprise churn factor
5	Diversify international pipeline	No single international country $> 25\%$ of new ARR	Reduce geographic concentration

Management should not halt acquisition investment entirely. Mid-market and Middle East growth remain attractive, and the company retains positive free cash flow. The proposed approach is to reallocate a portion of incremental acquisition spend toward retention, support, and infrastructure efficiency until enterprise retention and cloud unit economics stabilize.

The board should review the five 90-day measures monthly. If enterprise gross retention remains below 86% for two consecutive months, management should consider a deeper pricing and product-integration review. If cloud cost per revenue dollar remains above \$0.190 after the optimization program begins, the infrastructure roadmap should be reprioritized.

Suggested OmniOps test question

Analyze this report. Identify the most important business findings, explain the likely causes of underperformance, highlight the major risks, and recommend the three highest-priority management actions. Support every conclusion with evidence from the report and distinguish facts from inference.

Expected analytical challenges: distinguish revenue growth from margin quality; connect but do not overstate the relationship between support and churn; compare cloud cost growth with revenue growth; recognize enterprise retention as a high-value risk; and preserve the report's explicit uncertainty around causality.